

## THE PLAN, IN FOUR NUMBERS

# The Simple Version

BALANCE

**\$100,000**

RISK PER TRADE

**1% = \$1,000**

TRADES PER WEEK

**5 - one each**

REWARD

**1:3 to 1:5**

## HOW TO READ EVERY NUMBER IN THIS DOCUMENT

**1R = \$1,000.** That is what you lose if a stop is hit, and it is the same on all five assets. A 1:3 winner pays 3R = \$3,000. A 1:5 winner pays 5R = \$5,000. Gold, oil, silver, bitcoin and the Dow - one trade each, once a week.

## Week A - two stopped out, three winners

| ASSET  | RESULT         | R MULTIPLE | PROFIT / LOSS |
|--------|----------------|------------|---------------|
| XAUUSD | Stopped out    | -1R        | -\$1,000      |
| WTIUSD | Stopped out    | -1R        | -\$1,000      |
| XAGUSD | Target hit 1:3 | +3R        | +\$3,000      |
| BTCUSD | Target hit 1:3 | +3R        | +\$3,000      |
| DJIUSD | Target hit 1:5 | +5R        | +\$5,000      |
| TOTAL  | 5 trades       | +9R        | +\$9,000      |

## WEEK A PROFIT

**+\$9,000**

**+9R on the week**, or +9% of the balance. Two losses cost \$2,000 between them; the three winners brought back \$11,000.

## IF THE THIRD WINNER ALSO RUNS TO 1:5

Two of the three winners were named as 1:3 and 1:5, so the third is taken as a 1:3 here. If it reaches 1:5 instead, the week is **+11R = +\$11,000** rather than +9R.

## SCENARIO TWO

## Week B - stops moved to entry

Same five trades, same \$1,000 of risk on each. This time every position is moved to break-even once it goes your way, so four trades scratch out at entry for nothing instead of losing, and one runs all the way to 1:5.

| ASSET        | RESULT                          | R MULTIPLE | PROFIT / LOSS   |
|--------------|---------------------------------|------------|-----------------|
| XAUUSD       | Stop moved to entry - scratched | +0R        | \$0             |
| WTIUSD       | Stop moved to entry - scratched | +0R        | \$0             |
| XAGUSD       | Stop moved to entry - scratched | +0R        | \$0             |
| BTCUSD       | Stop moved to entry - scratched | +0R        | \$0             |
| DJIUSD       | Target hit 1:5                  | +5R        | +\$5,000        |
| <b>TOTAL</b> | <b>5 trades</b>                 | <b>+5R</b> | <b>+\$5,000</b> |

## WEEK B PROFIT

# +\$5,000

**+5R on the week**, or +5% of the balance - from a single winning trade out of five.

### What moving the stop to entry is worth

| MANAGEMENT                 | OUTCOME                          | R          | RESULT          |
|----------------------------|----------------------------------|------------|-----------------|
| Stops left where they were | 4 losses and 1 winner at 1:5     | +1R        | +\$1,000        |
| Stops moved to entry       | 4 scratches and 1 winner at 1:5  | +5R        | +\$5,000        |
| <b>Difference</b>          | <b>Same trades, same entries</b> | <b>+4R</b> | <b>+\$4,000</b> |

## THE POINT OF WEEK B

Nothing about the trades changed - same entries, same stops, same targets. Only the management changed, and the week went from \$1,000 to \$5,000. The cost is that a trade which dips back to entry before running is now closed for nothing instead of eventually winning, so a real week lands somewhere between the two rows.

FOUR WEEKS

# The Monthly Total

| SCENARIO        | PER WEEK | PER WEEK (\$) | PER MONTH | MONTH, FIXED SIZE | MONTH, COMPOUNDED |
|-----------------|----------|---------------|-----------|-------------------|-------------------|
| Week A repeated | +9R      | +\$9,000      | +36R      | +\$36,000         | +\$41,158         |
| Week B repeated | +5R      | +\$5,000      | +20R      | +\$20,000         | +\$21,551         |

Fixed size keeps 1R at \$1,000 all month. **Compounded** recalculates 1% from the new balance each week, so the winners get bigger as the account grows. Four trading weeks to a month.

WEEK A - ONE MONTH

+\$36,000

Fixed sizing. Compounded weekly it is **+\$41,158**, taking the balance to \$141,158.

WEEK B - ONE MONTH

+\$20,000

Fixed sizing. Compounded weekly it is **+\$21,551**, taking the balance to \$121,551.

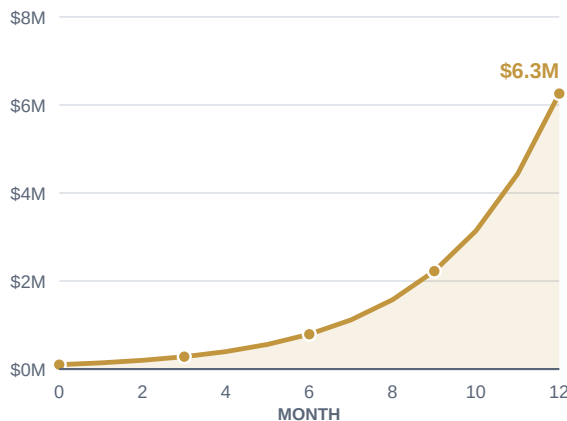
## Twelve months, compounded

|          | WEEK A - BALANCE | GAIN         | WEEK B - BALANCE | GAIN       |
|----------|------------------|--------------|------------------|------------|
| Start    | \$100,000        | -            | \$100,000        | -          |
| Month 1  | \$141,158        | +\$41,158    | \$121,551        | +\$21,551  |
| Month 2  | \$199,256        | +\$99,256    | \$147,746        | +\$47,746  |
| Month 3  | \$281,266        | +\$181,266   | \$179,586        | +\$79,586  |
| Month 6  | \$791,108        | +\$691,108   | \$322,510        | +\$222,510 |
| Month 9  | \$2,225,123      | +\$2,125,123 | \$579,182        | +\$479,182 |
| Month 12 | \$6,258,524      | +\$6,158,524 | \$1,040,127      | +\$940,127 |

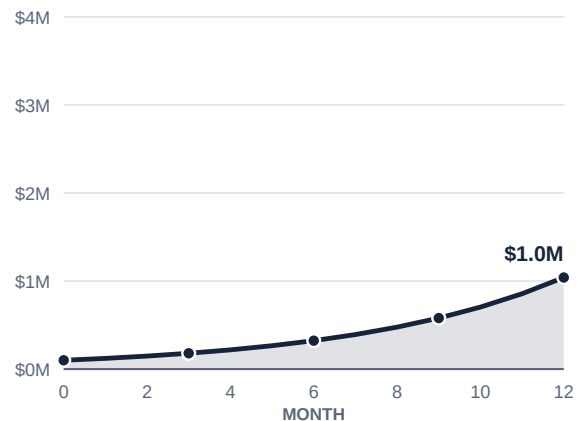
## COMPOUNDED WEEKLY

# Growth Over Twelve Months

WEEK A REPEATED - +9% a week



WEEK B REPEATED - +5% a week



Note the two vertical scales differ - Week A ends at \$6,258,524, Week B at \$1,040,127. Both curves are the same shape because both are the same arithmetic: a fixed weekly percentage, compounded.

## The weeks that are not Week A

| WEEK                                  | R   | PROFIT / LOSS | % OF BALANCE |
|---------------------------------------|-----|---------------|--------------|
| All five stopped out                  | -5R | -\$5,000      | -5.0%        |
| Four stopped out, one winner at 1:3   | -1R | -\$1,000      | -1.0%        |
| Three stopped out, two winners at 1:3 | +3R | +\$3,000      | +3.0%        |
| Week A                                | +9R | +\$9,000      | +9.0%        |

The same 1% risk that makes Week A worth \$9,000 makes the worst possible week cost \$5,000. Five losses in a row is a 5% drawdown - unpleasant, survivable, and the reason the risk is 1% and not 5%.

### READ THIS BEFORE YOU TRUST THE CHART

Every figure here is correct arithmetic and none of it is a forecast. The charts assume the same week repeats fifty-two times without a single losing one - no month where three assets chop sideways, no gap through a stop, no drawdown. **A 9% week is a very good week, not an average one.** Real results also lose spread, commission and financing on every trade. Treat these numbers as what the sequence is worth if it happens, not as what a year looks like.

### EVERY TRADE

# \$1,000

Risk \$1,000. Aim for \$3,000 to \$5,000. Take five a week, one on each asset. Move the stop to entry once it is going your way. That is the entire system.